

The changes didn't please everyone. Unhappy pensioners and unions sued. After federal mediation, a settlement rolled back some of the original reforms: COLAs, for example, were no longer contingent just on investment returns but were based on half on returns and half on the inflation rate. COLAs could also be paid when the plan was less than 80% funded. The retirement age was scaled back to 65 from 67. Nevertheless, the settlement preserved 95% of the original savings.⁶⁹

The full effects of the pension reform will take decades to manifest, just as it took decades for the pension fund to land in so much trouble. Raimondo tackled public pension reform by starting at the end, describing an optimal retirement income, and then seeking a path to that goal—in other words, by using the life-cycle approach to investing. ERSRI is not in the clear, but at least Rhode Island is on the right track.

⁶⁹ See Economist, "Little Rhody, Big Debts," Feb. 22, 2014.